

out why their priorities caused such a disaster. Did they feel pressured to live well by being around their wealthy friends? Did their impoverished childhood compel them to live a lifestyle they couldn't afford? The answer to this question is probably the most important factor in their successfully learning to live within their means.

What! Me Change Diapers?

As people make more money, they tend to spend more. Just when you think you have everything, something better or faster is developed. Your first used car that once thrilled you (even though it had no air conditioning and the radio didn't work) becomes replaceable once you can afford a better model. Your first furniture, a combination of garage sale purchases and hand-me-downs from your relatives, now becomes your garage sale items as you upgrade by shopping at a real furniture store. That cell phone that used to have the newest features now seems obsolete compared to the most recent model.

It is much easier to increase one's lifestyle than to decrease it. As soon as you become accustomed to a certain higher standard of living, it is very difficult to downscale. For many people, downscaling represents not only giving things up but also a sense of failure when the lifestyle that was attained cannot be maintained. This was true in the case of Tom and Anita March, who built their lifestyle up to a level they could afford when their income was high, but found themselves facing the dilemma of trying to maintain the same lifestyle when their income decreased.

When things were going well, Tom and Anita hired a nanny. They owned a large home in a wealthy neighborhood. Tom was a commercial real estate broker and Anita owned an art studio in a trendy beach community. The Marches were a very social couple; they entertained regularly at their home.

